

(Don't Write
anything in this Area)

- Q2.** (a) What are the two main schools in economic anthropology? What are the fundamental differences in their approach to the study of economic systems in simple societies? (20 marks)

The origin of 2 main schools in economic anthropology can be attributed to Karl Polanyi's work of "The Great Transformation".

2 main Schools of economic Anthropology :-

① Formalists :- proposed by Herskovits and Schneider.

- Basic premise for this school is that "Economic systems in simple societies are based on ^{pure} economic principles".

2 Principles used by this school :-

① Principle of maximization : Every human has the tendency of maximization of Resources for greater benefits.

① Principle of Rationality :- Human's being rational in nature tend to maximize their profits and generate greater good's for society.

e.g use of Tribal market's by Bastare tribals for profit maximization.

2) Substantivist School :- proposed by Dalton and Polanyi.

- Basic premise of this school is that economic relations are ~~all~~ embedded in cultural matrix of simple societies.

2 principles of this school :-

a) Principle of Optimization :- Human's carry economic activities in order to satisfy their minimum need's via optimization of resources.

b) Principle of social stability :- Social stability and Kinship relations have a major influence in deciding the type of economic activities carried by societies.

Formalist :-

⇒ Economy is Individual centered

⇒ Only motto is "profit maximization"

⇒ Known as "resource maximizer's"

Substantivist :-

⇒ Economy is group centered.

⇒ Only motto is "safe-guard of social relations"

⇒ Known as "resource optimizer's"

Case study :-

Malinowski study of "Kula exchange" among Tobriand Islanders reflects the importance given to Kinship ties over economic relations.

⇒ Kogi Indians :- non-cultivation of farmland terraces due to belief of ancestor soul living in these lands reflects "social & cultural beliefs" overtaking "economic principles".

Contemporary relevance :-

As per Ashley Winte ; both schools represent extreme view of economic continuum.

In wake of force's of globalization entering tribal societies ; economic principles are overtaking social relations for greater market utilization . Hence a middle path needs to be followed for better understanding of ~~s~~ economy system's in simple societies.